

# Concepts, Conventions, Standards — and Capital versus Revenue

Chapter F6.2 — Why Accounting Has Rules, Who Writes Them in India, and the One Distinction That Decides Whether Profit Is Right

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|------------|-----------------------------------------------------------------|
| Module     | Foundation Layer — Module 6 — Accounting, Auditing & Statistics |
| Chapter    | Chapter F6.2                                                    |
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## NOTE · HOW TO USE THIS DOCUMENT

This chapter follows **F6.1** and closes the two threads it deliberately left open.

F6.1 §6.2 told you that an **error of principle** is a capital item treated as revenue, without ever defining capital and revenue properly. Section 5 here does that, and it is the highest-yield section in the chapter. F6.1 Q15 named AS-1's **three fundamental accounting assumptions** in an answer without explaining them. Section 4 here does that.

If you have not done F6.1, do it first — Section 5 assumes you know what an error of principle is, and Section 2 assumes you know the accounting equation.

**HIGH YIELD · WHERE THIS CHAPTER SITS**

Blueprint §7.1 names **"accounting standards and assumptions"** and **"capital versus revenue"** in the top high-yield list for this examination (ANALYTICAL ESTIMATE). Both are in this chapter.

This is also the chapter that makes the rest of Module 6 shorter. Depreciation (F6.4), inventory valuation (F6.4), provisions and reserves (F6.3) and revenue recognition are all *applications* of four or five ideas defined here. Learn the ideas once and those chapters become recall rather than new learning.

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## 0. How This Chapter Works

**Overall chapter priority:** ★★★★★ for Sections 4 and 5, ★★★★★★ for the rest.

### STUDY SESSION · CHAPTER F6.2 — THE SIX SESSIONS

1. **Session 1** — Why accounting needs rules at all; GAAP; who writes the rules in India (§1) ★★★★★★
2. **Session 2** — The concepts, part one: entity, money measurement, going concern, cost, dual aspect (§2) ★★★★★★
3. **Session 3** — The concepts, part two: period, realisation, accrual, matching, objectivity (§3) ★★★★★★
4. **Session 4** — The conventions, and AS-1's three fundamental assumptions (§4) ★★★★★★
5. **Session 5** — Capital versus revenue (§5) ★★★★★★ **highest yield in the chapter**
6. **Session 6** — Accounting Standards and Ind AS (§6) ★★★★★★

Then the graded practice in §7 — 40 questions in three levels. Budget two sessions. Eight sessions in total, so roughly **four days** at your two hours a day.

### IMPORTANT · THE EVIDENCE POSITION IS UNCHANGED FROM F6.1

I still do not have a question-by-question classification of the 14 accounting questions in the 2023 paper, so I will not invent one. Section priorities here are **Analytical Estimates**, reasoned from the Blueprint's high-yield list and from which ideas the rest of the module depends on.

What is PYQ-DERIVED: the block was 0 questions in 2015, **14 in 2023**, 9 in 2025, and auditing was tested in 2023 partly through a "*which one is not correct*" item on audit scope.

# 1. Session 1 — Why Accounting Needs Rules ★★★★★

## 1.1 The problem rules solve

F6.1 §1.3 ended on a claim worth taking seriously: accounting exists to produce **evidence a stranger can trust**. Now push on it. Suppose every business chose its own methods. One values closing stock at cost, another at selling price. One writes machinery off over five years, another over twenty.

Both sets of books could be honest. But no outsider could compare them, and no outsider could rely on either — because the same underlying business could be made to show any profit the owner preferred.

So accounting needs **rules that are common, stable and disclosed**. That body of rules is **GAAP — Generally Accepted Accounting Principles**.

## 1.2 Three words the exam separates

Beginners use these interchangeably. Examiners do not.

| Term              | What it is                                                                  | Examples                                  |
|-------------------|-----------------------------------------------------------------------------|-------------------------------------------|
| <b>Concept</b>    | A basic assumption or postulate about <i>how</i> accounting views the world | Going concern, dual aspect, accrual       |
| <b>Convention</b> | A practice adopted by custom, to make statements useful and comparable      | Consistency, materiality, conservatism    |
| <b>Standard</b>   | A written, enforceable rule issued by an authority on a specific matter     | AS 2 Inventories, AS 15 Employee Benefits |

*Concepts are assumed, conventions are customary, standards are prescribed*

**COMMON UPSC TRAP · THE CONCEPT / CONVENTION BOUNDARY IS NOT CLEAN**

Textbooks disagree on which items are concepts and which are conventions. Consistency is called a convention in most Indian texts but is one of AS-1's three **assumptions**. Accrual is called a concept, and is also an AS-1 assumption.

**How to handle this in the exam.** Do not fight it. Two things are settled and are what actually gets asked:

1. The **three fundamental accounting assumptions under AS-1** are going concern, consistency and accrual. That list is fixed and examinable (§4.3)
2. **Conservatism, materiality, full disclosure and consistency** are the four items always presented as conventions

Everything else is a concept. If an option asks you to classify something outside those two settled lists, look for a different discriminator in the question.

**1.3 Who writes the rules in India**

This is examinable as plain institutional fact, and it is the kind of Ministry-versus-body distinction the Blueprint §8 trap table warns about.

| Body                                                      | What it is                                                                         | Authority                                                           |
|-----------------------------------------------------------|------------------------------------------------------------------------------------|---------------------------------------------------------------------|
| <b>ICAI</b> — Institute of Chartered Accountants of India | The professional body of chartered accountants                                     | <b>Statutory</b> , under the Chartered Accountants Act, <b>1949</b> |
| <b>ASB</b> — Accounting Standards Board                   | A committee <b>of ICAI</b> that formulates Accounting Standards                    | Constituted by ICAI in <b>1977</b> . Not statutory in itself        |
| <b>Central Government</b>                                 | <b>Prescribes</b> the standards, making them legally binding                       | <b>Section 133</b> , Companies Act, 2013                            |
| <b>NFRA</b> — National Financial Reporting Authority      | Advises on standards; monitors compliance; oversees audit quality; may investigate | <b>Section 132</b> , Companies Act, 2013. Constituted 2018          |
| <b>IASB</b> — International Accounting Standards Board    | Issues <b>IFRS</b> internationally                                                 | Not an Indian body. Successor to the IASC                           |

The chain, which is the part worth holding as a sequence:

**ASB (a committee of ICAI) recommends » Central Government prescribes under s.133, in consultation with NFRA » the standard becomes legally binding**

**MUST MASTER · FOUR DISTINCTIONS IN THAT TABLE**

1. **ICAI is statutory; the ASB is not.** ICAI exists under the Chartered Accountants Act, 1949. The ASB is a body ICAI itself created in 1977
2. **The ASB does not make standards binding — the Central Government does,** under **section 133** of the Companies Act, 2013. The ASB *formulates and recommends*
3. **NFRA is section 132; standards are section 133.** Adjacent sections, easily swapped, and a natural trap pair
4. **India follows convergence with IFRS, not adoption.** Ind AS are IFRS-converged standards, not IFRS themselves. Any option saying India has adopted IFRS is wrong (§6.2)

**CHECK YOURSELF · SESSION 1**

1. What problem do common accounting rules solve? Answer in terms of an outsider
2. What does GAAP stand for?
3. Distinguish a concept, a convention and a standard
4. Which body formulates Accounting Standards, and which one makes them binding? Under what section?
5. Under which section is NFRA constituted, and what does it do?

## 2. Session 2 — The Concepts, Part One ★★★★★

Five concepts that decide what accounting even looks at.

### 2.1 Business entity concept

The business is treated as **separate and distinct from its owner**. Books record the business's transactions, not the owner's.

This is the concept that makes capital a **liability**. The business owes the owner what he put in — which is exactly why F6.1 §2.1 could write  $\text{Assets} = \text{Liabilities} + \text{Capital}$  with capital on the claims side. And it is why the owner's household electricity bill never enters the books, while his withdrawal of cash appears as **drawings**.

### 2.2 Money measurement concept

Only transactions **expressible in money** are recorded. Everything else, however important, is invisible to the accounts.

This is the source of the first limitation in F6.1 §1.2. A strike brewing among your workers, a key manager about to resign, a collapsing reputation — none appear. It also carries a hidden assumption: that the **value of money is stable**, which inflation makes false.

### 2.3 Going concern concept

The business is assumed to continue **for the foreseeable future**, and not to be about to be liquidated.

Almost everything follows from this. Because the firm will continue, a machine bought for ₹10 lakh is not shown at what it would fetch in a distress sale today — it is shown at cost less **depreciation**, spread over the years it will serve. Prepaid expenses can be carried forward as assets. The distinction between fixed and current assets means something.

Remove the assumption and the whole basis changes: a business being wound up reports assets at **net realisable value**.

#### FROM YOUR OWN WORLD · GOING CONCERN IS A STEADY-STATE ASSUMPTION

You analyse a pump at steady state. You do not size it on the transient of the first two seconds after start-up, because the steady state is the regime it will actually spend its life in.

Going concern is the same move. Accounting reports the business in its continuing regime, not in the transient of an imagined liquidation tomorrow. And exactly as in engineering, the assumption has to be **stated and checked** — if the machine is about to be shut down, steady-state numbers are the wrong numbers. That is why an auditor who doubts going concern must say so: the disclosure is not a formality, it invalidates the basis of every other figure.



## 2.4 Cost concept (historical cost)

An asset is recorded at the **price actually paid to acquire it**, including all costs of bringing it into use — not at market value, and not at what the owner thinks it is worth.

Its virtue is **objectivity**: a purchase invoice is verifiable, an opinion of value is not. Its vice is **irrelevance over time**: land bought in 1990 sits at its 1990 price. Both halves are examinable, and the vice is the second limitation from F6.1 §1.2.

## 2.5 Dual aspect concept

Every transaction has **two aspects**, equal and opposite. This is the concept that produces the accounting equation and therefore double entry itself — F6.1 §4.1 in one line.

### MEMORY TECHNIQUE · WHICH CONCEPT PRODUCED WHICH RULE

Do not memorise the five as a list. Attach each to the thing it causes, because that is how they get tested:

| Concept           | The rule it produces                                 |
|-------------------|------------------------------------------------------|
| Business entity   | Capital is a liability; drawings exist               |
| Money measurement | Only monetary items are recorded                     |
| Going concern     | <b>Depreciation</b> ; assets not at realisable value |
| Cost              | Assets at purchase price, not market value           |
| Dual aspect       | <b>Double entry</b> ; $A = L + C$                    |

If a question gives you the consequence and asks for the concept, this table is the answer key.

### CHECK YOURSELF · SESSION 2

1. Which concept makes capital a liability, and why?
2. Which concept is the reason depreciation exists?
3. State one virtue and one vice of the historical cost concept
4. Which concept is double entry a direct consequence of?
5. On what basis are assets reported if the going concern assumption fails?

## 3. Session 3 — The Concepts, Part Two ★★★★★

Four concepts about **timing** — when a transaction belongs to. This is where the real exam value is, because timing decides profit.

### 3.1 Accounting period concept

The life of a business is continuous, but users cannot wait for it to end. So the life is cut into fixed intervals — an **accounting period**, in India normally **1 April to 31 March**.

Cutting time creates every timing problem that follows. A year-end falls in the middle of unfinished business: rent paid for a period straddling the cut, salary earned but unpaid, goods delivered but unbilled. The next three concepts exist to decide which side of the line each belongs to.

### 3.2 Realisation concept

Revenue is recognised when it is **realised — that is, earned** — and not when cash is received.

For a sale of goods, revenue is realised when **ownership passes to the buyer**, not when the order is placed and not when payment arrives. So goods sold on credit on 28 March are revenue of that year even if the customer pays in June. An order merely received on 28 March is **not** revenue at all.

### 3.3 Accrual concept

Income and expenses are recorded **in the period to which they relate**, regardless of when cash moves. The alternative is **cash basis**, where only actual receipts and payments count.

|                               | Accrual basis                            | Cash basis                   |
|-------------------------------|------------------------------------------|------------------------------|
| Recognition                   | When income is earned / expense incurred | When cash is received / paid |
| Outstanding and prepaid items | Recorded                                 | Ignored entirely             |
| Profit shown                  | True profit for the period               | Merely the cash surplus      |
| Companies Act 2013            | <b>Mandatory</b> for companies           | Not permitted                |

#### MUST MASTER · ACCRUAL IS MANDATORY FOR COMPANIES

Companies must keep books on the **accrual basis**. This is not a matter of preference, and an option suggesting a company may choose the cash basis is wrong.

Note the direction of the trap: cash basis is *simpler*, so it sounds like the permissible default. It is not.

### 3.4 Matching concept

Expenses of a period must be **matched against the revenues of that same period**. It is the accrual concept applied to the pairing of costs with the income they generated.

This is what makes closing stock, outstanding expenses, prepaid expenses and depreciation necessary. If you sold goods this year, the cost of *those* goods belongs this year — so unsold goods must be carried out of this year's cost as closing stock. Every year-end adjustment you will meet in F6.3 is the matching concept doing its work.

### 3.5 Objectivity concept

Entries must rest on **verifiable documentary evidence** — the voucher from F6.1 §3. Accounting records opinions only where a standard forces an estimate, and then requires the basis to be disclosed.

#### FROM YOUR OWN WORLD · THE IRAC NORMS ARE ACCRUAL BEING OVERRIDDEN BY PRUDENCE

Here is the sharpest illustration of these ideas available to you, and it is from your own desk.

Under RBI's **Income Recognition and Asset Classification** norms, interest on a **non-performing asset** is *not* taken to income on an accrual basis, even though it is contractually due. It is recognised only when actually **received**.

Look at what that is. Pure accrual would book the interest as income because it has been earned. Prudence (§4.4) refuses, because collection is doubtful and accounting must not anticipate profit. So the regulator overrides accrual with prudence for precisely the class of assets where accrual would flatter the accounts.

Two lessons worth carrying. First, **prudence outranks accrual when collection is doubtful** — which is the reasoning behind provisions generally. Second, when a question sets accrual against prudence, prudence usually wins. That is not a coincidence of banking regulation; it is the hierarchy.

#### CHECK YOURSELF · SESSION 3

1. What is the normal accounting period in India, and why does cutting time create problems?
2. When is revenue realised on a credit sale? Is a received order revenue?
3. Give four differences between the accrual and cash bases. Which is mandatory for companies?
4. Which concept makes closing stock and outstanding expenses necessary?
5. Give a real case where prudence overrides accrual, and explain why

## 4. Session 4 — The Conventions, and AS-1 ★★★★★

Four conventions, then the three assumptions that sit on top of them.

### 4.1 Consistency

The **same accounting methods must be followed from year to year**, so that results are comparable across periods. A firm that depreciates on the straight-line basis this year cannot switch to written down value next year merely to improve the look of its profit.

Consistency does **not** mean methods can never change. It means a change must be justified, and the change and its effect must be **disclosed**.

### 4.2 Full disclosure

All **material** information must be disclosed, so that users are not misled. It is not enough to be arithmetically correct — anything that would change a reader's judgement must be stated. This is why financial statements carry notes and a statement of accounting policies at all, which is precisely what **AS-1** requires.

### 4.3 Materiality

An item is **material** if its omission or misstatement would influence a user's decision. Insignificant items may be aggregated or ignored, because excessive detail obscures rather than informs.

Materiality is **relative, not absolute**. ₹50,000 may be material to a small firm and immaterial to one with a ₹5,000 crore balance sheet.

#### FROM YOUR OWN WORLD · MATERIALITY IS SIGNIFICANT FIGURES

You would not specify a shaft diameter as 25.400000 mm. Past a certain precision the extra digits are not information, they are noise — and reporting them would falsely imply a measurement accuracy you do not have.

Materiality is that judgement applied to money. The number of digits worth reporting depends on the scale of the thing being measured, and reporting beyond it makes the statement *less* useful, not more. Note the consequence, which the exam likes: materiality is the convention that **permits** you to leave something out. Full disclosure and materiality are not in conflict — materiality defines what disclosure has to reach.

### 4.4 Conservatism, or prudence

**Anticipate no profit, but provide for all possible losses.** Where two values are defensible, choose the one that does not overstate profit or assets.

Standard applications, each a likely question:

- **Closing stock** is valued at **cost or net realisable value, whichever is lower**
- A **provision for doubtful debts** is created for debts that may not be recovered
- **Contingent liabilities** are disclosed; contingent gains are not recognised
- Unrealised gains are not taken to profit; unrealised losses are provided for

#### FROM YOUR OWN WORLD · PRUDENCE IS A FACTOR OF SAFETY

You do not design a beam for the load you expect. You design it for the worst credible load, with a factor of safety on top, because the cost of being wrong is asymmetric — an over-designed beam wastes material, an under-designed one fails.

Prudence is the accounting factor of safety, and it exists for the same asymmetric reason. Overstating profit misleads people who then lend money, buy shares, or extend credit. Understating it disappoints them. The consequences are not symmetric, so the rule is not symmetric either.

Which also tells you why prudence beat accrual in the IRAC example in §3.5.

#### COMMON UPSC TRAP · PRUDENCE HAS A LIMIT

Conservatism does **not** license deliberate understatement. Creating excessive provisions to depress profit produces **secret reserves** and is itself a distortion — it misleads in the other direction, and it conflicts with full disclosure.

So the correct statement of the convention is *do not overstate, not understate as much as possible*. Options that push conservatism to that extreme are wrong.

## 4.5 AS-1 and the three fundamental accounting assumptions

**AS-1, Disclosure of Accounting Policies**, is where F6.1 Q15 came from.

**MUST MASTER · THE THREE FUNDAMENTAL ACCOUNTING ASSUMPTIONS**

Under AS-1 there are exactly **three**:

1. **Going concern**
2. **Consistency**
3. **Accrual**

Two rules about them that get asked as much as the list itself:

- They are **assumed to have been followed** without being stated. No positive disclosure is needed

when they are followed

- If any assumption is **not** followed, that fact **must be disclosed**

So the disclosure obligation is **asymmetric** — silence means compliance. An option claiming these assumptions must be positively disclosed in every set of accounts is wrong.

**MEMORY TECHNIQUE · "GO-CON-AC" AND THE THREE FROM FOUR**

The three assumptions: **GO**ing concern · **CON**sistency · **AC**cruaL.

Notice the useful asymmetry with the conventions. Of the four conventions — consistency, disclosure, materiality, conservatism — only **consistency** is also an AS-1 assumption. So:

- Given the four conventions, the one that is also an assumption is **consistency**
- Given the three assumptions, the one that is also a convention is **consistency**

Conservatism, materiality and full disclosure are conventions **only**. Going concern and accrual are assumptions and concepts, **not** conventions. That single overlap is the whole of the confusion, and knowing where it sits answers the classification questions.

**CHECK YOURSELF · SESSION 4**

1. Does consistency forbid changing methods? What does it require instead?
2. Is materiality absolute or relative? Give an example
3. State the conservatism convention in its standard wording, and give three applications
4. What is the limit on conservatism, and what does exceeding it create?
5. Name AS-1's three fundamental assumptions. When must they be disclosed?
6. Which single item is both a convention and an AS-1 assumption?

## 5. Session 5 — Capital versus Revenue ★★★★★

**The highest-yield section in the chapter.** It closes the thread from F6.1 §6.2, it is named explicitly in the Blueprint's high-yield list, and it is the distinction most likely to appear as a numerical or multi-statement question.

### 5.1 The distinction, and why it decides profit

Some spending buys benefit that **lasts beyond this year**. Some is **consumed within the year**. Put each in the wrong place and both the profit and the balance sheet are wrong.

|               | Capital expenditure                                              | Revenue expenditure                         |
|---------------|------------------------------------------------------------------|---------------------------------------------|
| Benefit lasts | Beyond one accounting period                                     | Within the period                           |
| Frequency     | Non-recurring                                                    | Recurring                                   |
| Purpose       | <b>Acquires or improves</b> an asset; increases earning capacity | <b>Maintains</b> earning capacity           |
| Shown in      | <b>Balance Sheet</b> , as an asset                               | <b>Trading or Profit &amp; Loss account</b> |
| Examples      | Machinery, land, building, extension                             | Salaries, rent, fuel, ordinary repairs      |

*The whole distinction is duration of benefit and purpose*

**Five tests** to apply when a question gives you an unfamiliar item:

1. **Nature** — a fixed asset, or goods and services consumed?
2. **Duration** — benefit beyond this year?
3. **Purpose** — to acquire or improve, or to maintain?
4. **Frequency** — one-off, or recurring?
5. **Effect** — does it increase earning capacity, or merely preserve it?

### 5.2 The receipts side

The same split applies to money coming in, and is asked less often but is easier to get wrong.

|          | Capital receipt                                                                        | Revenue receipt                                             |
|----------|----------------------------------------------------------------------------------------|-------------------------------------------------------------|
| Source   | Not from normal trading                                                                | From normal operations                                      |
| Effect   | Creates a liability or reduces an asset                                                | Neither                                                     |
| Shown in | Balance Sheet                                                                          | Profit & Loss account                                       |
| Examples | Capital introduced, loan raised, <b>sale proceeds of a fixed asset</b> , share premium | Sale of goods, interest received, commission, rent received |

### 5.3 Deferred revenue expenditure — the third category

Some spending is **revenue in nature** but its benefit spreads over **several years**. It is written off over those years, and the unwritten portion is carried on the **asset side** meanwhile.

Standard examples: a **heavy advertising campaign** to launch a product; **preliminary expenses** of forming a company; **discount on the issue of debentures**.

#### BEGINNER MISTAKE · DEFERRED REVENUE IS NOT CAPITAL

It creates **no asset you could sell**. An advertising campaign leaves nothing behind that could be disposed of — which is exactly why it is *revenue* in nature. It is merely *deferred*, because writing the whole cost off in one year would distort that year's profit and violate matching (§3.4).

Three-way test if an option offers all of them: does the spending leave a **saleable asset** (capital) » is the benefit **consumed this year** (revenue) » or is there **no asset but multi-year benefit** (deferred revenue)?

### 5.4 The items that are actually asked

This table is the section's working core. Nearly every capital-versus-revenue question is one of these or a close variant.



| Item                                                                 | Treatment               | Why                                          |
|----------------------------------------------------------------------|-------------------------|----------------------------------------------|
| Purchase of machinery                                                | <b>Capital</b>          | Acquires a fixed asset                       |
| <b>Wages paid to install</b> machinery                               | <b>Capital</b>          | Cost of bringing the asset into use          |
| Carriage or freight on <b>machinery</b>                              | <b>Capital</b>          | Same reason                                  |
| Carriage or freight on <b>goods</b>                                  | <b>Revenue</b>          | Goods are for resale, consumed this period   |
| <b>Repairs to second-hand machinery</b> to make it usable            | <b>Capital</b>          | Necessary to bring it into working condition |
| Ordinary repairs to machinery in use                                 | <b>Revenue</b>          | Maintains, does not improve                  |
| Annual whitewashing and painting                                     | <b>Revenue</b>          | Recurring maintenance                        |
| Replacing a worn part with a <b>similar</b> part                     | <b>Revenue</b>          | Restores original capacity                   |
| Replacing a part with a <b>superior</b> one that raises output       | <b>Capital</b>          | Increases earning capacity                   |
| <b>Extension</b> to a building                                       | <b>Capital</b>          | Improvement, lasting benefit                 |
| Legal fees on <b>purchase</b> of property                            | <b>Capital</b>          | Part of acquisition cost                     |
| Legal fees to <b>defend title</b> to property                        | <b>Capital</b>          | Protects the asset itself                    |
| Legal fees for recovery of a trade debt                              | <b>Revenue</b>          | Ordinary operating cost                      |
| Interest on a loan for a fixed asset, <b>before it is put to use</b> | <b>Capital</b>          | Capitalised — see AS 16, §6.3                |
| Interest on the same loan after it is in use                         | <b>Revenue</b>          | Ordinary finance cost                        |
| Heavy launch advertising                                             | <b>Deferred revenue</b> | Revenue in nature, multi-year benefit        |
| Preliminary expenses                                                 | <b>Deferred revenue</b> | Written off over years                       |
| Depreciation                                                         | <b>Revenue</b>          | The year's share of an asset's cost          |
| Sale proceeds of old machinery                                       | <b>Capital receipt</b>  | Reduces an asset                             |

**MUST MASTER · THE PATTERN BEHIND THE PAIRS**

Notice the table is built from **pairs that differ by one word**, which is exactly how the examiner will use it:

- Carriage on **machinery** (capital) versus carriage on **goods** (revenue)
- Repairs to make a second-hand machine **usable** (capital) versus repairs to a machine **in use**

(revenue)

- A **similar** replacement part (revenue) versus a **superior** one (capital)
- Interest **before** the asset is put to use (capital) versus **after** (revenue)
- Legal fees on **purchase** or to **defend title** (capital) versus to **recover a debt** (revenue)

The discriminating word is never decorative. Underline it before you answer — the same habit Blueprint §8 recommends for the last six words of a stem.

**5.5 What goes wrong when you misclassify — the F6.1 thread closed**

An **error of principle** (F6.1 §6.2) is precisely a capital item recorded as revenue or the reverse. Now you can state its effect, which is the examinable part.

| The error                                            | Profit             | Assets             | Trial balance               |
|------------------------------------------------------|--------------------|--------------------|-----------------------------|
| <b>Capital</b> expenditure treated as <b>revenue</b> | <b>Understated</b> | <b>Understated</b> | <b>Agrees</b> — undisclosed |
| <b>Revenue</b> expenditure treated as <b>capital</b> | <b>Overstated</b>  | <b>Overstated</b>  | <b>Agrees</b> — undisclosed |

*Both directions leave the trial balance in perfect agreement*

Work through the first row once so it is reasoning rather than memory. Machinery of ₹2,00,000 is debited to Purchases. Purchases is an expense, so this year's expenses are ₹2,00,000 too high and profit is ₹2,00,000 too low. And no machinery asset was ever recorded, so assets are ₹2,00,000 too low. Yet the entry was **balanced** — a debit and a credit of equal amount — so total debits still equal total credits and the trial balance agrees.

**THINK LIKE UPSC · WHY THIS IS THE EXAMINER'S FAVOURITE JUNCTION**

This single table lets one question test three things at once: the capital/revenue distinction, the error classification from F6.1, and what a trial balance can detect. That is why it recurs.

Expect these shapes:

- **Direction reversal.** "Treating revenue expenditure as capital understates profit." **False** — it

*overstates* profit. Both halves of the row flip together, so check profit and assets move the same way

- **The trial balance rider.** A multi-statement question where statements 1 and 2 give the effect

correctly and statement 3 claims the trial balance will disclose it. Statement 3 is the false one

- **The word "only".** "Errors of principle affect profit only." **False** — they affect both profit and

assets, and the balance sheet as well

- **Numerical form.** Profit is ₹8,00,000; ₹50,000 of machinery repairs to make a second-hand machine

usable was charged to the P&L. The correct profit is ₹8,50,000, because that repair was capital

**CHECK YOURSELF · SESSION 5**

1. Give the five tests for distinguishing capital from revenue expenditure
2. Classify, with a reason: carriage on machinery; carriage on goods; annual painting; an extension
3. What is deferred revenue expenditure? Give two examples and say why it is not capital
4. When is interest on a loan capitalised?
5. Revenue expenditure treated as capital — what happens to profit, assets and the trial balance?
6. Profit is ₹6,00,000. Wages of ₹40,000 paid to install a new machine were charged to the P&L. What is the correct profit?

## 6. Session 6 — Accounting Standards and Ind AS ★★★★★

### 6.1 What a standard is for

A concept tells you accounting assumes going concern. A standard tells you, in writing and enforceably, **how to value inventory** or **how to account for a gratuity liability**. Standards narrow the range of acceptable treatments so that two honest firms in the same position report the same way.

### 6.2 Indian AS, Ind AS and IFRS

|                | AS (Accounting Standards)                                   | Ind AS (Indian Accounting Standards)                                |
|----------------|-------------------------------------------------------------|---------------------------------------------------------------------|
| Basis          | Indian GAAP                                                 | <b>Converged with IFRS</b>                                          |
| Notified under | Companies (Accounting Standards) Rules                      | Companies ( <b>Indian Accounting Standards</b> ) Rules, <b>2015</b> |
| Applies to     | Companies not covered by Ind AS, and non-corporate entities | Larger companies, in <b>phases from 1 April 2016</b>                |
| Numbering      | AS 1 to AS 29                                               | Ind AS 101 onward                                                   |

#### MUST MASTER · CONVERGENCE IS NOT ADOPTION

India has **converged** with IFRS, not **adopted** it. Ind AS are based on IFRS but carry "carve-outs" — deliberate departures reflecting Indian law and conditions.

So there are two wrong options to recognise instantly: that India has adopted IFRS directly, and that Ind AS and IFRS are identical. Both are false, and the distinction is the single most examinable point about Ind AS.

Broad applicability of Ind AS, phased: companies with a **net worth of ₹500 crore or more** from 2016-17, then listed companies below that threshold and unlisted companies with net worth of **₹250 crore or more** from 2017-18. Banks, insurers and NBFCs were phased separately.

### 6.3 The standards worth knowing by number

Do not learn all 29. Learn the ones that either recur or connect to something else in your syllabus.

| Standard     | Subject                                                  | Why it matters to you                                      |
|--------------|----------------------------------------------------------|------------------------------------------------------------|
| <b>AS 1</b>  | Disclosure of Accounting Policies                        | The three fundamental assumptions (§4.5)                   |
| <b>AS 2</b>  | <b>Valuation of Inventories</b>                          | Cost or NRV, whichever is lower — prudence in action. F6.4 |
| <b>AS 3</b>  | Cash Flow Statements                                     | F6.5                                                       |
| <b>AS 5</b>  | Prior period items, changes in accounting policies       | The consistency convention enforced                        |
| <b>AS 9</b>  | <b>Revenue Recognition</b>                               | The realisation concept (§3.2) enforced                    |
| <b>AS 10</b> | Property, Plant and Equipment                            | Absorbed the withdrawn <b>AS 6 Depreciation</b> . F6.4     |
| <b>AS 13</b> | Accounting for Investments                               | F6.4                                                       |
| <b>AS 15</b> | <b>Employee Benefits</b>                                 | <b>Directly your job — see below</b>                       |
| <b>AS 16</b> | Borrowing Costs                                          | Why pre-use interest is capitalised (§5.4)                 |
| <b>AS 26</b> | Intangible Assets                                        | Goodwill and patents. F6.4                                 |
| <b>AS 29</b> | Provisions, Contingent Liabilities and Contingent Assets | Prudence enforced. F6.3                                    |

### WHY THIS EXISTS · AS 15 IS THE ONE STANDARD WRITTEN ABOUT YOUR JOB

Of all 29 standards, **AS 15 Employee Benefits** is the one an APFC should be able to discuss without hesitation, because it is how an employer accounts for the very liabilities you will enforce.

Its central distinction is one you should carry into Module 3 as well:

|                               | Defined contribution plan                        | Defined benefit plan                         |
|-------------------------------|--------------------------------------------------|----------------------------------------------|
| What the employer promises    | To pay a <b>fixed contribution</b>               | To pay a <b>defined amount</b> on exit       |
| Who bears the investment risk | The <b>employee</b>                              | The <b>employer</b>                          |
| Accounting                    | Straightforward: the contribution is the expense | Complex: <b>actuarial valuation</b> required |
| Your examples                 | <b>Provident fund</b> contributions              | <b>Gratuity</b> ; a defined pension          |

Why it matters practically. Under a defined contribution plan the employer's obligation ends when the contribution is paid — which is exactly why non-payment of PF dues is so clean to determine in a Section 7A inquiry: the liability is a computable percentage of wages, not an actuarial estimate. Under a defined benefit plan the employer carries the shortfall risk, which is why gratuity liability must be actuarially valued and appears as a provision.

That single table connects Module 6 to Module 3, and it is the kind of cross-syllabus answer that distinguishes a candidate in an interview.

### CHECK YOURSELF · SESSION 6

1. What does a standard add that a concept does not?
2. Ind AS versus IFRS — convergence or adoption? What are carve-outs?
3. Under which rules and from which date were Ind AS applied? What was the first net-worth threshold?
4. Which AS deals with inventories, and what is its valuation rule?
5. Which AS absorbed the withdrawn depreciation standard?
6. Distinguish a defined contribution from a defined benefit plan, with an example of each and who bears the risk

## 7. Graded Practice — 40 Questions ★★★★★

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Write your answers down before checking, and log every error. Level 3 uses the paper's real formats: "not correct", multi-statement with codes, matching, and numerical application.

### 7.1 Level 1 — Recognition

- Q1.** GAAP stands for (a) Generally Accepted Accounting Principles (b) General Accounting and Auditing Practice (c) Government Approved Accounting Procedure (d) Globally Applied Accounting Policies
- Q2.** The concept that treats the business as distinct from its owner is the (a) money measurement concept (b) going concern concept (c) business entity concept (d) cost concept
- Q3.** Depreciation is a direct consequence of which concept? (a) Dual aspect (b) Going concern (c) Realisation (d) Materiality
- Q4.** The concept that produces the accounting equation and double entry is (a) matching (b) accrual (c) objectivity (d) dual aspect
- Q5.** Under the historical cost concept, a fixed asset is recorded at (a) the price actually paid to acquire and install it (b) its current market value (c) its net realisable value (d) the value the owner assigns to it
- Q6.** Recording only those transactions that can be expressed in money is the (a) objectivity concept (b) money measurement concept (c) matching concept (d) entity concept
- Q7.** Valuing closing stock at cost or net realisable value, whichever is lower, illustrates (a) consistency (b) materiality (c) full disclosure (d) conservatism
- Q8.** The convention that permits insignificant items to be ignored is (a) conservatism (b) consistency (c) materiality (d) full disclosure
- Q9.** The Accounting Standards Board was constituted by the ICAI in (a) 1977 (b) 1949 (c) 1956 (d) 2013
- Q10.** Accounting Standards are prescribed by the Central Government under which section of the Companies Act, 2013? (a) Section 132 (b) Section 133 (c) Section 129 (d) Section 143
- Q11.** The National Financial Reporting Authority is constituted under (a) Section 133 of the Companies Act, 2013 (b) the Chartered Accountants Act, 1949 (c) Section 132 of the Companies Act, 2013 (d) the Companies (Ind AS) Rules, 2015
- Q12.** Ind AS are (a) identical to IFRS (b) unrelated to IFRS (c) issued directly by the IASB (d) converged with IFRS
- Q13.** AS 2 deals with (a) Valuation of Inventories (b) Revenue Recognition (c) Cash Flow Statements (d) Employee Benefits
- Q14.** AS 15 deals with (a) Borrowing Costs (b) Employee Benefits (c) Intangible Assets (d) Accounting for Investments
- Q15.** Capital expenditure is shown in the (a) Trading account (b) Profit and Loss account (c) Balance Sheet (d) Cash Flow Statement only

## 7.2 Level 2 — Understanding

- Q16.** Revenue on a credit sale is recognised when (a) the order is received (b) the invoice is prepared (c) cash is received (d) ownership of the goods passes to the buyer
- Q17.** Under the accrual basis, an expense incurred but not yet paid is (a) ignored until paid (b) recorded in the period to which it relates (c) recorded only if material (d) recorded as a capital item
- Q18.** For companies, the accrual basis of accounting is (a) mandatory (b) optional (c) permitted only for listed companies (d) prohibited
- Q19.** The concept that makes closing stock and outstanding expenses necessary at the year end is (a) money measurement (b) objectivity (c) matching (d) entity
- Q20.** The convention of consistency requires that (a) methods can never be changed (b) all firms use identical methods (c) methods change every year to reflect conditions (d) methods be followed uniformly, and any change be disclosed with its effect
- Q21.** Which one of the following is a convention but **not** one of AS-1's fundamental assumptions? (a) Consistency (b) Conservatism (c) Accrual (d) Going concern
- Q22.** Under AS-1, the three fundamental accounting assumptions (a) are assumed to be followed, and disclosure is required only if one is not followed (b) must be positively disclosed in every set of accounts (c) need never be disclosed in any circumstances (d) are disclosed only by listed companies
- Q23.** Wages paid for the installation of a newly purchased machine are (a) revenue expenditure (b) deferred revenue expenditure (c) a capital receipt (d) capital expenditure
- Q24.** Carriage paid on the purchase of goods meant for resale is (a) capital expenditure (b) deferred revenue expenditure (c) revenue expenditure (d) a capital receipt
- Q25.** Repairs carried out on a second-hand machine to bring it into working condition are (a) revenue expenditure (b) capital expenditure (c) deferred revenue expenditure (d) not recorded
- Q26.** Heavy advertising expenditure to launch a new product is best treated as (a) deferred revenue expenditure (b) capital expenditure (c) revenue expenditure written off at once (d) a capital receipt
- Q27.** Sale proceeds of old machinery constitute (a) a revenue receipt (b) revenue expenditure (c) deferred revenue expenditure (d) a capital receipt
- Q28.** Interest on a loan taken to purchase a machine, for the period **before** the machine is put to use, is (a) always revenue expenditure (b) never recorded (c) capitalised as part of the asset's cost (d) a capital receipt
- Q29.** Treating capital expenditure as revenue expenditure will (a) understate both profit and assets (b) overstate both profit and assets (c) understate profit and overstate assets (d) leave profit unaffected
- Q30.** In the bank's books, interest on a non-performing asset is recognised only when received. This is best described as (a) an application of the matching concept (b) prudence overriding accrual (c) an error of principle (d) an application of the money measurement concept



### 7.3 Level 3 — Recruitment Test standard

**Q31.** Which one of the following statements is **not** correct? (a) The going concern concept justifies charging depreciation rather than showing assets at realisable value (b) The historical cost concept gives objectivity but loses relevance over time (c) The convention of conservatism requires profit to be understated as far as possible (d) Materiality is relative to the size of the entity

**Q32.** Consider the following statements:

1. The Accounting Standards Board formulates Accounting Standards.
2. The Accounting Standards Board makes Accounting Standards legally binding.
3. NFRA advises the Central Government on accounting and auditing standards.

Which of the above statements are correct? (a) 1 and 2 only (b) 2 and 3 only (c) 1, 2 and 3 (d) 1 and 3 only

**Q33.** Match List-I with List-II and select the correct answer using the code given below:

| List-I (Concept or convention) | List-II (Consequence)                                          |
|--------------------------------|----------------------------------------------------------------|
| A. Going concern               | 1. Capital appears as a liability of the business              |
| B. Business entity             | 2. Closing stock at the lower of cost and net realisable value |
| C. Conservatism                | 3. Depreciation is charged over the asset's useful life        |
| D. Matching                    | 4. Outstanding expenses are provided for at the year end       |

(a) A-3 B-1 C-2 D-4 (b) A-1 B-3 C-4 D-2 (c) A-3 B-2 C-1 D-4 (d) A-4 B-1 C-2 D-3

**Q34.** Consider the following statements about deferred revenue expenditure:

1. It is revenue in nature but its benefit extends over more than one accounting period.
2. The unwritten-off portion is shown on the asset side of the balance sheet.
3. It creates a saleable asset, which is why it is treated as capital expenditure.

Which of the above statements are correct? (a) 1 only (b) 1 and 2 only (c) 2 and 3 only (d) 1, 2 and 3

**Q35.** Which one of the following pairs is **not** correctly matched? (a) Carriage on machinery — capital expenditure (b) Legal fees to defend title to property — capital expenditure (c) Replacing a worn-out part with a similar part — capital expenditure (d) Annual whitewashing of the factory — revenue expenditure

**Q36.** Consider the following statements:

1. Treating revenue expenditure as capital expenditure overstates profit.
2. Treating revenue expenditure as capital expenditure overstates assets.
3. Such an error will be disclosed by the trial balance.

Which of the above statements are correct? (a) 1 only (b) 2 and 3 only (c) 1, 2 and 3 (d) 1 and 2 only

**Q37.** A firm's profit for the year is shown as ₹8,00,000. It is then found that ₹50,000 spent on repairs to a second-hand machine, to bring it into working condition, had been charged to the Profit and Loss account, and that ₹20,000 of ordinary factory repairs had been added to the machinery account. The corrected profit is (a) ₹8,30,000 (b) ₹8,70,000 (c) ₹7,70,000 (d) ₹8,00,000

**Q38.** Which one of the following statements about Ind AS is correct? (a) They are issued directly by the IASB and adopted verbatim in India (b) They are converged with IFRS and contain carve-outs reflecting Indian conditions (c) They replaced all Accounting Standards for every entity from 1 April 2016 (d) They apply only to unlisted companies

**Q39.** Under AS 15, in a defined contribution plan (a) the employer bears the investment risk and an actuarial valuation is required (b) the employer guarantees a defined amount payable on exit (c) the employee bears the investment risk and the employer's obligation is limited to the contribution (d) no expense is recognised until the employee retires

**Q40.** Consider the following statements:

1. Under AS-1, going concern, consistency and accrual are the fundamental accounting assumptions.
2. Consistency is the only one of those three that is also commonly classified as a convention.
3. Conservatism is one of the three fundamental accounting assumptions.

Which of the above statements are correct? (a) 1 and 3 only (b) 2 and 3 only (c) 1, 2 and 3 (d) 1 and 2 only

## 8. Answers and Explanations

### 8.1 Level 1

| Q  | Ans | Explanation                                                                                                                                               |
|----|-----|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1  | a   | <b>Generally Accepted Accounting Principles</b> — the common body of rules that lets an outsider rely on and compare accounts                             |
| 2  | c   | <b>Business entity concept.</b> It is what makes capital a liability of the business towards the owner, and why drawings exist as a separate idea         |
| 3  | b   | <b>Going concern.</b> Because the firm will continue, the asset's cost is spread over its useful life instead of writing it down to a distress-sale value |
| 4  | d   | <b>Dual aspect</b> — every transaction has two equal and opposite aspects, which is $A = L + C$ and therefore double entry                                |
| 5  | a   | The price <b>actually paid</b> , including costs of bringing the asset into use. (b) and (c) are the values the cost concept deliberately refuses         |
| 6  | b   | <b>Money measurement</b> , which is why staff morale and a strong brand never appear in the accounts                                                      |
| 7  | d   | <b>Conservatism</b> — the lower of cost and NRV never overstates the asset or the profit                                                                  |
| 8  | c   | <b>Materiality.</b> Note that it <i>permits</i> omission; it does not conflict with full disclosure, it defines how far disclosure must reach             |
| 9  | a   | <b>1977.</b> Do not confuse it with <b>1949</b> , the year of the Chartered Accountants Act under which ICAI itself exists                                |
| 10 | b   | <b>Section 133.</b> The ASB recommends; the Central Government prescribes under s.133 in consultation with NFRA                                           |
| 11 | c   | <b>Section 132.</b> Sections 132 and 133 are adjacent and are a standard trap pair — 132 is the authority, 133 is the standards                           |
| 12 | d   | <b>Converged with IFRS</b> , not identical to it and not issued by the IASB                                                                               |
| 13 | a   | <b>AS 2 Valuation of Inventories</b> — cost or net realisable value, whichever is lower                                                                   |
| 14 | b   | <b>AS 15 Employee Benefits</b> — the standard covering provident fund and gratuity, and the one closest to your future job                                |

| Q  | Ans | Explanation                                                                                                |
|----|-----|------------------------------------------------------------------------------------------------------------|
| 15 | c   | The <b>Balance Sheet</b> , as an asset. Revenue expenditure goes to the Trading or Profit and Loss account |

## 8.2 Level 2

| Q  | Ans | Explanation                                                                                                                                                 |
|----|-----|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 16 | d   | When <b>ownership passes</b> — the realisation concept. Not on receipt of an order, and not on receipt of cash                                              |
| 17 | b   | Recorded in the period it <b>relates to</b> . Ignoring it until paid is the cash basis                                                                      |
| 18 | a   | <b>Mandatory</b> for companies. The trap is that the cash basis sounds like a permissible simpler default                                                   |
| 19 | c   | <b>Matching</b> . Costs must sit in the same period as the revenues they produced, which forces every year-end adjustment                                   |
| 20 | d   | Uniform application, with any change <b>and its effect disclosed</b> . (a) overstates the convention — change is allowed, concealment is not                |
| 21 | b   | <b>Conservatism</b> . Consistency is both a convention and an assumption; accrual and going concern are assumptions, not conventions                        |
| 22 | a   | They are <b>presumed followed</b> , and disclosure is needed <b>only</b> when one is not. The obligation is asymmetric — silence means compliance           |
| 23 | d   | <b>Capital</b> . Installation wages are part of the cost of bringing the asset into use, not a running cost                                                 |
| 24 | c   | <b>Revenue</b> . Carriage on <i>goods</i> is consumed this period; carriage on <i>machinery</i> would be capital. One word decides it                       |
| 25 | b   | <b>Capital</b> — necessary to bring the machine into working condition. Contrast ordinary repairs to a machine already in use, which are revenue            |
| 26 | a   | <b>Deferred revenue expenditure</b> — revenue in nature, benefit over several years, written off across them                                                |
| 27 | d   | A <b>capital receipt</b> : it reduces an asset and does not arise from normal trading                                                                       |
| 28 | c   | <b>Capitalised</b> as part of the asset's cost, per AS 16. Interest <b>after</b> it is put to use is revenue                                                |
| 29 | a   | <b>Both understated</b> . Expenses are too high so profit is too low, and no asset was recorded so assets are too low. Both halves of the row move together |
| 30 | b   | <b>Prudence overriding accrual</b> . Accrual would book the earned interest; prudence refuses because collection is doubtful                                |

### 8.3 Level 3

| Q  | Ans | Explanation                                                                                                                                                                                                                                                                                                                                                                                           |
|----|-----|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 31 | c   | Conservatism means <b>do not overstate</b> — it does <b>not</b> require understating profit as far as possible, which would create secret reserves and defeat full disclosure. The other three are correct                                                                                                                                                                                            |
| 32 | d   | <b>1 and 3 only.</b> Statement 2 is wrong: the ASB <b>formulates</b> , the <b>Central Government</b> makes standards binding under s.133. That division of labour is the whole point of §1.3                                                                                                                                                                                                          |
| 33 | a   | <b>A-3</b> going concern gives depreciation; <b>B-1</b> entity makes capital a liability; <b>C-2</b> conservatism gives lower of cost and NRV; <b>D-4</b> matching forces outstanding expenses                                                                                                                                                                                                        |
| 34 | b   | <b>1 and 2 only.</b> Statement 3 is false and self-contradictory — deferred revenue expenditure creates <b>no saleable asset</b> , which is exactly why it is revenue in nature rather than capital                                                                                                                                                                                                   |
| 35 | c   | Replacing a worn part with a <b>similar</b> part merely restores original capacity, so it is <b>revenue</b> . Only a <b>superior</b> replacement that raises earning capacity would be capital                                                                                                                                                                                                        |
| 36 | d   | <b>1 and 2 only.</b> Statement 3 is the false rider: an error of principle leaves a balanced entry, so the trial balance <b>agrees</b> and cannot disclose it. Note this is the same trap shape as F6.1 Q32                                                                                                                                                                                           |
| 37 | a   | Two corrections pulling in <b>opposite</b> directions, which is the point of the question. The ₹50,000 was <b>capital</b> wrongly charged to the P&L, so profit was understated — <b>add it back</b> . The ₹20,000 was <b>revenue</b> wrongly capitalised, so profit was overstated — <b>subtract it</b> . $8,00,000 + 50,000 - 20,000 = \text{₹}8,30,000$ . Option (b) adds both, (c) subtracts both |
| 38 | b   | <b>Converged with carve-outs.</b> (a) states adoption, (c) overstates the transition — Ind AS applied in <b>phases</b> and AS still governs entities outside them — and (d) inverts the applicability                                                                                                                                                                                                 |
| 39 | c   | In a <b>defined contribution</b> plan the employer's obligation ends with the contribution and the <b>employee</b> bears investment risk. (a) and (b) describe a <b>defined benefit</b> plan such as gratuity                                                                                                                                                                                         |
| 40 | d   | <b>1 and 2 only.</b> Statement 3 is wrong — conservatism is a <b>convention</b> , not one of the three assumptions. Consistency is the single item that is both                                                                                                                                                                                                                                       |

**MEMORY TECHNIQUE · THE TWO-DIRECTION CORRECTION, AS IN Q37**

Whenever a question gives you a stated profit and a list of misclassifications, do not try to hold the signs in your head. Write two columns.

| Misclassification                     | What it did to profit | Correction      |
|---------------------------------------|-----------------------|-----------------|
| <b>Capital</b> wrongly charged to P&L | Understated           | <b>Add back</b> |
| <b>Revenue</b> wrongly capitalised    | Overstated            | <b>Subtract</b> |

Then sum. The examiner's distractors are almost always "added both" and "subtracted both", so getting the two directions independently right is the entire question.

**THINK LIKE UPSC · THE THREE RECURRING SHAPES IN THIS CHAPTER**

1. **The false rider.** Q32, Q34, Q36 and Q40 all give you two true statements and one false one. The false statement is almost always the one that (i) claims the trial balance discloses an error of principle, (ii) claims the ASB makes standards binding, or (iii) misclassifies conservatism as an assumption. Learn those three lies and this question type collapses
2. **The one-word pair.** Q24, Q25 and Q35 all turn on a single discriminating word — *goods* versus *machinery*, *second-hand* versus *in use*, *similar* versus *superior*. Underline it first
3. **The overstated convention.** Q20 and Q31 both offer an option that pushes a convention to an absolute — consistency as "never change", conservatism as "understate as far as possible". A convention taken to an extreme is a wrong option

## 9. One-Minute Revision

### ONE-MINUTE REVISION · CHAPTER F6.2 — READ BEFORE EVERY ACCOUNTING SESSION

**GAAP** Generally Accepted Accounting Principles. **Concept** = assumed · **Convention** = customary · **Standard** = prescribed

**WHO WRITES THE RULES** ICAI statutory under the **Chartered Accountants Act 1949** · **ASB** constituted by ICAI **1977**, formulates and recommends · **Central Government prescribes under s.133** Companies Act 2013 · **NFRA under s.132**, constituted 2018 · IFRS issued by the **IASB**

**CONCEPTS AND WHAT THEY CAUSE** entity » capital is a liability · money measurement » only monetary items · **going concern** » **depreciation** · cost » purchase price not market value · **dual aspect** » **double entry**

**TIMING CONCEPTS** accounting period 1 Apr–31 Mar · **realisation** » revenue when **ownership passes**, not on cash · **accrual** » period it relates to, **mandatory for companies** · **matching** » forces closing stock, outstanding and prepaid, depreciation · objectivity » documentary evidence

**FOUR CONVENTIONS** consistency · full disclosure · materiality (**relative**, permits omission) · **conservatism** = anticipate no profit, provide for all losses » stock at **lower of cost and NRV**, provision for doubtful debts. Limit: no **secret reserves**

**AS-1 THREE FUNDAMENTAL ASSUMPTIONS GO-CON-AC** = **Going concern** · **Consistency** · **Accrual** · presumed followed · **disclose only if NOT followed** · **consistency** is the only one that is also a convention · conservatism is **not** an assumption

**CAPITAL vs REVENUE** capital = benefit beyond the year, non-recurring, acquires or improves » **Balance Sheet** · revenue = within the year, recurring, maintains » **P&L** · five tests: nature, duration, purpose, frequency, effect on earning capacity

**THE ONE-WORD PAIRS** carriage on **machinery** capital / on **goods** revenue · repairs to make second-hand **usable** capital / to a machine **in use** revenue · **similar** part revenue / **superior** part capital · interest **before** use capitalised / **after** revenue · legal fees on **purchase or defending title** capital / **recovering a debt** revenue

**DEFERRED REVENUE** revenue in nature, multi-year benefit, **no saleable asset** · heavy launch advertising, preliminary expenses, discount on debentures · unwritten portion on the **asset side**

**CAPITAL RECEIPTS** capital introduced, loan raised, **sale of a fixed asset**, share premium

**ERROR OF PRINCIPLE EFFECTS** capital treated as revenue » profit **and** assets **understated** · revenue treated as capital » both **overstated** · **trial balance agrees either way**



**IND AS converged** with IFRS, **not adopted**, has **carve-outs** · Companies (Ind AS) Rules **2015** · phased from **1 Apr 2016**, first threshold net worth **₹500 crore**

**STANDARDS TO KNOW** AS 1 policies · **AS 2 inventories, lower of cost and NRV** · AS 3 cash flow · AS 9 revenue recognition · AS 10 PPE (absorbed the withdrawn **AS 6 depreciation**) · **AS 15 employee benefits** · AS 16 borrowing costs · AS 26 intangibles · AS 29 provisions

**AS 15** defined **contribution** = fixed contribution, **employee** bears risk, e.g. **provident fund** · defined **benefit** = defined amount on exit, **employer** bears risk, **actuarial valuation**, e.g. **gratuity**

## 10. Five-Minute Wall Sheet

### FIVE-MINUTE WALL SHEET · CHAPTER F6.2 — PUT THIS WHERE YOU CAN SEE IT

**GO-CON-AC** = the AS-1 three: Going concern · Consistency · Accrual. Disclose **only if not** followed

**CONSISTENCY IS THE OVERLAP** — the only convention that is also an assumption.  
**Conservatism is NOT** an assumption

**ASB RECOMMENDS · GOVERNMENT PRESCRIBES (s.133) · NFRA IS s.132**

**1949 CA Act · 1977 ASB · 2015 Ind AS Rules · 2016 Ind AS applies · ₹500 cr first threshold**

**CONVERGED, NOT ADOPTED** — Ind AS have carve-outs

**GOING CONCERN » DEPRECIATION · DUAL ASPECT » DOUBLE ENTRY · ENTITY » CAPITAL IS A LIABILITY**

**REALISATION** = ownership passes, not cash · **ACCRUAL** mandatory for companies ·  
**MATCHING** forces every year-end adjustment

**CONSERVATISM** = anticipate no profit, provide for all losses · stock at **lower of cost and NRV**  
· limit = no secret reserves

**MATERIALITY IS RELATIVE** — your significant-figures instinct · **PRUDENCE IS A FACTOR OF SAFETY** — asymmetric consequences

**PRUDENCE BEATS ACCRUAL** when collection is doubtful — the IRAC norms on NPA interest

**CAPITAL = BEYOND THE YEAR, ACQUIRES OR IMPROVES » BALANCE SHEET REVENUE = WITHIN THE YEAR, MAINTAINS » P&L**

**FIVE ONE-WORD PAIRS** machinery/goods · usable/in use · superior/similar · before/after use  
· title/debt

**DEFERRED REVENUE = NO SALEABLE ASSET** but multi-year benefit

**MISCLASSIFY: BOTH MOVE TOGETHER** capital as revenue » profit and assets **understated** ·  
revenue as capital » both **overstated** · **trial balance agrees either way**

**AS 15 FOR YOUR JOB** PF = defined **contribution**, employee bears risk · gratuity = defined **benefit**, employer bears risk, actuarial valuation

**ONE LINE FOR THE INTERVIEW** Accounting standards exist because concepts alone leave too much discretion: going concern tells you to depreciate, but only AS 10 tells you how — and it is that narrowing of discretion, not the concepts themselves, that makes one firm's accounts comparable with another's.

**ACTION · NEXT IN THE FOUNDATION TRACK**

**Chapter F6.3 — Final Accounts: Trading Account, Profit and Loss Account, Balance Sheet, and Provisions and Reserves.** It is where the matching concept from §3.4 and the prudence convention from §4.4 become actual entries: closing stock, outstanding and prepaid items, depreciation, provision for doubtful debts, and the provision-versus-reserve distinction the Blueprint names as high-yield.

Before you move on, state without looking: the three AS-1 assumptions and when they must be disclosed; which single item is both a convention and an assumption; the five one-word pairs from §5.4; and what happens to profit, assets and the trial balance when revenue expenditure is treated as capital.